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UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF HAWAII

In re: ROLLOFFS HAWAII, LLC, Debtor. Bk. No. 16-01294 (Chapter 7) DANE S. FIELD, Chapter 7 Trustee for the Estate of Rolloffs Hawaii, LLC, Plaintiff,	Adv. Pro. No. 18-90035 **MOTION TO DISMISS COMPLAINT; CONSOLIDATED MEMORANDUM OF POINTS AND AUTHORITIES OF DEFENDANTS TRASHMASTERS, LLC, ET AL. IN SUPPORT THEREOF**

v.

TRASHMASTERS, LLC; CORRIDOR CAPITAL, LLC; CORRIDOR CAPITAL ADVISORS, LLC; CORRIDOR TRASHMASTERS, L.P.; SPB MANAGEMENT, LLC; SPB WASTE, LLC; SPB CAPITAL GP, LLC; SPB CAPITAL PARTNERS, L.P.; SPB PARTNERS, LLC; CRAIG ENENSTEIN; L. GEOFFREY GREULICH; EDWARD A. MONNIER; JESSAMYN DAVIS; ARI D. BASS; SCOTT R. BULLOCH; KENNETH M. PRESSBERG; KRISTIAN GOURLAY; DOUGLAS L. ASAY; DOUGLAS D. ASAY; CHARLES E. LEONARD; BRIAN COLBECK; ROLLOFFS HAWAII, INC.; THE KNG GROUP, LLC; COLBECK CONSULTING LLC; JOHN DOES 1-50; JANE DOES 1-50; DOE CORPORATIONS 1-50; DOE PARTNERSHIPS 1-50; DOE ENTITIES 1-50,

Defendants.

Date: April 12, 2019
Time: 10:00 a.m.
Judge: Hon. Robert J. Faris

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Pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure, made applicable to adversary proceedings by Rule 7012 of the Federal Rules of Bankruptcy Procedure, defendants TrashMasters, LLC; Corridor Capital, LLC; Corridor Capital Advisors, LLC; Corridor TrashMasters, L.P.; SPB Management, LLC; SPB Waste, LLC; SPB Capital GP, LLC; SPB Capital Partners, L.P.; SPB Partners, LLC; Craig Enenstein; L. Geoffrey Greulich; Edward A. Monnier; Jessamyn Davis; Ari D. Bass; Scott R. Bulloch and Kenneth M. Pressberg (collectively, "Defendants") hereby move to dismiss all counts (each, a "Count") of that certain Complaint (the "Complaint")[1] filed by the trustee for the Rolloffs Hawaii LLC estate (the "Trustee" or "Plaintiff") in the above-captioned adversary proceeding.

MEMORANDUM OF POINTS AND AUTHORITIES

I. PRELIMINARY STATEMENT

This suit arises out of the failure of Rolloffs Hawaii, LLC (the "Debtor"), which operated a waste collection and disposal business in Hawaii from May 2009 to the end of 2016. Despite the best efforts of the Debtor's management, the Debtor filed a voluntary chapter 11 petition in December 2016 after the City & County of Honolulu materially altered its required payment terms for use of a

[1] Capitalized terms not otherwise defined herein shall have the meanings ascribed to them in the Complaint.

landfill from payment net 60 days after invoice to payment net 30 days after invoice, which resulted in an immediate additional cash requirement of $1.25 million and a material increase in net debt. While the failure of the Debtor was caused by unforeseeable factors outside the control of any Defendant, the Trustee brings the instant action seeking to hold the Debtor's equity holder, advisors, and former officers and purported directors of the Debtor along with members of the Debtor's parent company, entities affiliated with them, and their management personally liable.

Based on conclusory, contradictory, and some demonstrably false allegations, the Trustee alleges that the Debtor was, from inception, a fraudulent vehicle for the members of the parent entity (TrashMasters) to extract value ahead of creditors, notwithstanding that the equity holders invested and lost over $11 million; no distributions were ever made to TrashMasters or its members; the Debtor operated as a going concern for well over seven years, paying its creditors in the ordinary course of business; and institutional lenders were willing to make substantial loans to the Debtor, with better terms as time went on, as late as 2015.

The Complaint does not meet the most basic pleading requirements under the Federal Rules of Civil Procedure and applicable law. Each of the fraudulent transfer counts (Counts I-LII), seeking to recover five categories of payments as actual and constructively fraudulent transfers, fails on multiple grounds, including:

(1) failure to meet the heightened specificity requirements for each actual fraudulent transfer count; (2) failure to allege actual intent to delay, defraud, or hinder creditors beyond bare legal conclusions quoting the statute; and (3) failure to sufficiently allege insolvency or lack of reasonably equivalent value with respect to the constructively fraudulent transfer counts, which is also fatal, as a practical matter, to the actual fraudulent transfer counts. Moreover, with respect to the Counts challenging the Union Bank Payments (Counts I-III), the KNG Payoff (Counts XLV-LI), and the Advisory Fees (Counts IV-XXXVII), the Complaint acknowledges facts that irrefutably establish reasonably equivalent value.

Without the fraudulent transfer counts, the Trustee's remaining counts (Counts LIII-LXI) for breach of fiduciary duty, aiding and abetting breach of fiduciary duty, conspiracy, unjust enrichment, and alter ego all fail; however, even if there were underlying fraudulent transfers, these Counts would all fail for multiple reasons, including that the Trustee fails to allege which defendants were officers and directors of the Debtor or facts that establish that any Defendant other than TrashMasters owed fiduciary duties to the Debtor or its creditors, and relies entirely on impermissible "group pleading" allegations with respect to all the officer and director defendants rather than specifying what wrongful conduct each Defendant took part in, as the Trustee is required to do. It is well settled that claims for conspiracy to commit fraudulent transfers (Count LIII) may not be brought by a

bankruptcy trustee. The alter ego claim (LX) fails because the Trustee seeks to have all defendants found to be alter egos of all other Defendants without pleading facts to support such relief and seeks to impose the doctrine of reverse alter ego, which is not recognized in Hawaii. Finally, the unjust enrichment claim (LXI) fails because the Trustee has not pleaded facts stating what was conferred upon each Defendant that they unlawfully retained.

II. RELEVANT FACTUAL BACKGROUND

A. Trustee's Extensive Rule 2004 Discovery.

The Trustee has already conducted extensive discovery against many of the Defendants as well as non-defendant third parties, such as the Debtor's accountants.[2] Subpoenas seeking essentially all documents concerning the Debtor and its relationship to the Defendants were served on TrashMasters, the Corridor Entities, the SPB Entities, ROHI, Bass, Enenstein, Monnier, Greulich and Doug L. Asay.

On May 4, 2018, TrashMasters, the Corridor Entities, and the SPB Entities filed their Motion to Quash Subpoenas or, in the Alternative, for Protective Order [Bankr. Dkt. No. 387]. The Trustee responded by filing a motion to compel responses to the subpoenas, and an opposition to the motion to quash [Bankr. Dkt.

[2] *See, e.g.*, Subpoena for Rule 2004 Examination upon the Custodian of Records of Green, Hasson & Janks [Bankr. Dkt. No. 367].

No. 394], followed by additional briefing by the parties [Bankr. Dkt. Nos. 428, 432]. The parties negotiated the Trustee's Search Protocol and Terms for Electronic Data Responsive to the Trustee's BR 2004 Requests to TrashMasters, LLC, Corridor Capital, LLC and SPB Partners dated August 28, 2018. The Court ordered that production be completed by October 5, 2018 [Bankr. Dkt. No. 468]. Thereafter, TrashMasters, the Corridor Entities and the SPB Entities produced over 164,000 documents consisting of over 400,000 pages to the Trustee, which included virtually all of the documents and data already in their possession created prior to the bankruptcy filing relating to the Debtor, including emails. See Declaration of Kenneth Brown ("Brown Decl."), ¶¶ 4, 5.

B. The Complaint.

On December 7, 2018, the Trustee filed his sixty-one count, 126-page Complaint to recover allegedly fraudulent transfers and damages purportedly relating to the alleged fraudulent transfers on multiple theories: conspiracy to commit fraudulent transfers, breach of fiduciary duties, conspiracy to breach fiduciary duties, aiding and abetting breach of fiduciary duties, alter ego, and unjust enrichment.

The allegations of the Complaint are discussed below in connection with the legal arguments.

III. SUMMARY OF ARGUMENT

Each of Counts I through LXI fails for multiple reasons, as set forth in detail in Section IV of this Motion, as follows: *[The filed table of Counts I to LXI, with the reasons for dismissal of each, is omitted from this transcription.]*

IV. ARGUMENT

A. Pleading Standards.

1. Rules 8(a) and 12(b)(6).

Rule 8(a)(2) of the Federal Rules of Civil Procedure, made applicable by Federal Rule of Bankruptcy Procedure 7008, requires a claim for relief contain "a short and plain statement of the claim showing that the pleader is entitled to relief." Fed. R. Civ. P. 8(a). The purpose of Rule 8(a)(2) is to "'give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.'" *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007) (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)).

A Rule 12(b)(6) motion tests the legal sufficiency of the claims asserted in the complaint, including, *inter alia*, whether the plaintiff has met the requirements of Rule 8(a)(2). Dismissal under Rule 12(b)(6) is proper where there is either a "lack of a cognizable legal theory," or "the absence of sufficient facts alleged under a cognizable legal theory." *Balistreri v. Pacifica Police Dep't.*, 901 F.2d

696, 699 (9th Cir. 1988); *see also Giacometti v. Arton Berm., Ltd. (In re Sukamto Sia)*, 349 B.R. 640, 648 (Bankr. D. Haw. 2006).

A court need not accept as true unreasonable inferences or conclusory legal allegations cast in the form of factual allegations. *See Twombly*, 550 U.S. at 555 ("While a complaint attacked by a Rule 12(b)(6) motion to dismiss does not need detailed factual allegations, a plaintiff's obligation to provide the 'grounds' of his 'entitle[ment] to relief' requires more than labels and conclusions, and a formulaic recitation of the elements of a cause of action will not do.") (quoting *Conley*, 355 U.S. at 47).

Thus, a complaint must contain "sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.' A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citations omitted; quoting *Twombly*, 550 U.S. at 570). "The plausibility standard is not akin to a 'probability requirement,' but it asks for more than a sheer possibility that a defendant has acted unlawfully." *Id.* (quoting *Twombly*, 550 U.S. at 556). "Where a complaint pleads facts that are 'merely consistent with' a defendant's liability, it 'stops short of the line between possibility and plausibility of entitlement to relief.'" *Id.* (quoting *Twombly*, 550 U.S. at 557).

"[T]o survive a motion to dismiss, the non-conclusory 'factual content,' and reasonable inferences from that content, must be plausibly suggestive of a claim entitling the plaintiff to relief." *Moss v. United States Secret Serv.*, 572 F.3d 962, 969 (9th Cir. 2009).[3]

2. Rule 9(b).

Rule 9(b) of the Federal Rules of Civil Procedure, made applicable by Federal Rule of Bankruptcy Procedure 7009, provides: "In alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally." Fed. R. Civ. P. 9(b).

[3] In deciding a motion to dismiss, a court may consider documents attached to the complaint, documents incorporated by reference in the complaint, or matters of judicial notice, without converting the motion to dismiss into a motion for summary judgment. *See Khoja v. Orexigen Therapeutics, Inc.*, 899 F.3d 988, 998 (9th Cir. 2018) (documents incorporated by reference into complaint are properly considered in a motion to dismiss).

V. CONCLUSION

WHEREFORE, based upon the foregoing, Defendants respectfully request that the Complaint be dismissed for the reasons set forth herein.

DATED: February 15, 2019

/s/ Chuck C. Choi

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